

What is a PAMM Account?

A **PAMM account** lets an experienced trader (money manager) trade on behalf of investors. The system automatically:

- Allocates **profits and losses** to investors
- Splits returns based on **percentages of investment**
- Tracks manager performance
- Calculates fees (performance fee, management fee)

It is one of the most popular managed-account systems in forex.

How It Works???

1. Manager opens a PAMM master account

This is the trading account used for executing trades.

2. Investors open sub-accounts

They join the PAMM and invest money into the manager's pool.

3. The manager trades the master account

All trades are copied to investor accounts proportional to their investment.

4. The system calculates:

- Percentage allocation
- Profit share
- Manager fee
- Performance fee
- Equity share
- Withdrawals

- Deposits

5. Investors see real-time performance

Through a dashboard.

How to Add PAMM Accounts to Your Forex Brokerage (Step-by-Step)

There are only **two ways** to implement PAMM into your brokerage:



Option 1:

Buy a Ready-Made PAMM System

This is the easiest and fastest method.

Popular PAMM providers:

- MetaQuotes PAMM (for MT4/MT5 brokers)
- Tools For Brokers (T4B) PAMM
- B2Broker PAMM
- Match-Trader PAMM
- Leverate PAMM
- DevExperts PAMM

What you need:

- MT4/MT5 server (or cTrader server)
- Admin access to your trading server
- Payment for PAMM license
- A developer to integrate it with your website/CRM

Installation Steps:

1. Choose a PAMM Provider

Contact them → get a demo → choose features.

2. They install PAMM on your MT4/MT5 server

The provider adds:

- PAMM master plugin
- Investor plugin
- Allocation/fee modules
- Manager dashboard
- Investor dashboard

3. Connect PAMM to your CRM/Back-Office

For:

- Deposits
- Withdrawals
- KYC
- Account linking

4. Connect it to your website

So clients can:

- View performance tables
- Join PAMM accounts
- Deposit funds
- Withdraw funds
- Track performance

5. Configure your fees

Examples:

- Performance fee (20%–40%)
- Management fee (1%–4%)
- Minimum deposit

6. Test before launching

- Trade allocation accuracy
- P/L distribution
- Fee calculations
- Withdrawal behavior

Option 2:

Build a Custom PAMM System (Harder)

You build it using developers.

What you need:

- MT4/MT5 Manager API or Gateway API
- Forex trading server
- Liquidity provider
- PHP/Node/Python developers
- Database
- Allocation engine

Your developers must build:

- Allocation engine
- Fee calculation system
- Risk controls
- Deposit/withdraw logic
- Trading synchronization with master account
- Investor dashboards
- Manager dashboards

 **This is expensive (\$20,000–\$80,000)**

 Needs high technical knowledge

 Higher risk of errors

This option is for large or well-funded brokers.

Recommended: Buy Ready-Made PAMM (Most Brokers Do This)

Because:

- ✓ Faster
- ✓ Cheaper
- ✓ More stable
- ✓ Fewer bugs
- ✓ Easy integration
- ✓ Comes with support
- ✓ Fully compatible with MT4/MT5

You only pay:

- Setup fee
- Monthly fee or revenue share



Pros & Cons of PAMM Feature for Your Brokerage

● Pros

- Attracts more clients
- Helps beginners invest safely
- Creates passive income for investors
- Generates additional profit for broker
- More deposits because people follow top managers
- Improves client retention
- Gives broker strong competitive advantage

● Cons

- Requires strong compliance (risk warnings, agreements)
- Manager misconduct can affect clients
- If allocation engine has bugs → large losses
- Higher server load
- Extra customer support required
- More regulation requirements in some countries

